

were \$828 million. If we assume that Coca-Cola would be able to grow owner earnings at 15 percent per year for the next 10 years (a reasonable assumption, since that rate is lower than the company's previous seven-year average), by year 10 owner earnings would equal \$3.349 billion. Let's further assume that, starting in year 11, that growth rate will slow to 5 percent per year. Using a discount rate of 9 percent (the long-term bond rate at the time), we can back-calculate the intrinsic value of Coca-Cola in 1988 to be \$48.377 billion.

We can repeat this exercise using different growth rate assumptions. If we assume that Coca-Cola can grow owner earnings at 12 percent for 10 years, followed by 5 percent growth, the present value of the company, discounted at 9 percent, would be \$38.163 billion. At 10 percent growth for 10 years and 5 percent thereafter, the value would be \$32.497 billion. And even if we assume that Coca-Cola could only grow at a steady state of 5 percent throughout, the company would still be worth at least \$20.7 billion.

Tenet: Buy at Attractive Prices

In June 1988, the price of Coca-Cola was approximately \$10 per share (split adjusted). Over the next 10 months, Buffett acquired 93,400,000 shares, for a total investment of \$1.023 billion. His average cost per share was \$10.96. At the end of 1989, Coca-Cola represented 35 percent of Berkshire's common stock portfolio.

From the time Goizueta took control of Coca-Cola in 1980, the company's stock price had increased every year. In the five years before Buffett purchased his first shares, the average annual gain in share price was 18 percent. The company's fortunes were so good that Buffett was unable to purchase any shares at distressed prices. Still, he charged ahead. Price, he reminds us, has nothing to do with value.

The stock market's value of Coca-Cola in 1988 and 1989, during Buffett's purchase period, averaged \$15.1 billion. But by Buffett's estimation, the intrinsic value of the company was anywhere from \$20.7 billion (assuming a 5 percent growth in owner earnings) to \$32.4 billion (assuming 10 percent growth), or \$38.1 billion (assuming 12 percent growth), or \$48.3 billion (assuming 15 percent growth). Buffett's margin of safety—the discount to